Corporate culture has **FALLEN!**

Invest in crafting the organisational culture you really want.

FROM EGYPT



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What's your company culture like? Sounds like a perfectly simple question. Coming up with an answer is not so simple, though.

The majority of business oriented people are under the impression that making humongous amounts of money, what we call it profit, is the only sign of a successful organization, and eventually of a great leader. A wake-up call is however necessary.

So, first and foremost, let us ask ourselves; why have organizations fallen?

Besides a lack of resources, bad planning, a lack of strategy and, of course, mismanagement of financial capital, Executives and Managers in the vast majority of companies that I have visited and/or worked with over the past 30 years are ignoring the impact of the corporate culture.

You will be surprised if you ask top executives about their organizational culture. Most of the time they will be unable to describe it.

The wisdom of learning from failure is incontrovertible.

Every organization is itself based on its own rules, values, perceptions and beliefs by which they operate. These basic criteria can be outlined and defined as a fundamental group, which guides people towards a common goal. For an organization to work well and to complete its objective, it must adapt to the external environment, but it has to do so by having solid criteria, standings, beliefs and values as an internal structure that is implemented by leaders.

Organizational culture is assumed to be a key factor in large-scale and avoidable institutional failures.

SO, WHAT IS CULTURE?

Culture is a set of shared values and assumptions within an organization. It reflects the underlying 'mindset of an organization', the 'unwritten rules' for how things really work. It works silently in the background to direct how an organization and its staff think, make decisions and actually behave.

If the people in charge of the organization are not aware of the impact of their behaviors they will often cause serious damage to business efforts.

WHAT MAKES ORGANIZATIONAL CULTURE SO IMPORTANT?

Organizational culture is, most of the time, the element that drives the organization. Culture provides the rather stable and shared system of values, beliefs and assumptions which provide approved modes of thought and behavior. It creates an operational environment, a momentum, in which every employee strives to achieve the goal that was set by the company. The standards based on which the employees are measured and assessed are also defined by this environment. Most of the time, the culture that exists in a company is deeply rooted, meaning it's a difficult process to change it. The result of a well-structured culture within the

organization's environment is a dynamic team in which every employee is held accountable while at the same time all members respect themselves and the company as an entity.

Basically the organizational culture is the element that can make the organization achieve success or to fail.

Organizational culture is defined as the way in which members of an organization relate to each other, their work and the outside world in comparison to other organisations. It is the "that's how we do things around here" of your organization. It refers to how your company conducts itself as a whole, including the unique ways in which it drives business activities, processes and philosophies. We may call it the "WoW" - Way of Work - defining organizational culture as how things really get done that includes the way people think, behave and act.

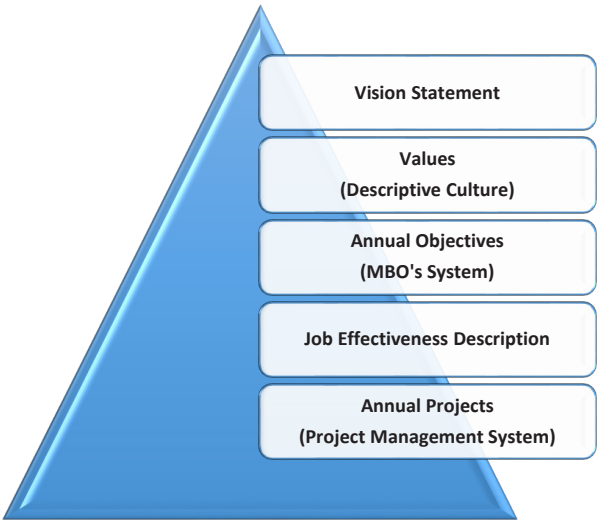
For example, when I joined a company in mid-2006, there were some major issues and concerns, such as low staff morale, considerable staff turnover and, above all, inability to get new employees onboard. After careful thought and conducting culture assessment and analysis (OCAI), the result was indicative. There was a double leadership style in place that impacted the achievement of HR department objectives, created discomfort among staff and didn't achieve the expected profit, and the consequences were far worse than those results.

Harvard Business School recently reported that culture can account for up to half of the differential in performance between organizations in the same industry. The success of any business strategy also lies in Organizational Culture as it motivates employees to take necessary action, and the common reasons why culture efforts go astray are:

- Leaders lack commitment;
- Culture change never translates to performance; and
- Culture change lacks distinction and flexibility.

Annual performance appraisals need not be divorced from company culture. Neither do they need to revolve entirely around achievement of performance targets. Numbers are important, but so is the approach.

So, in order to strengthen the organizational culture in the example I mentioned earlier, we were able to establish a unique performance management system, we call it Panoramic Performance Appraisal, where we evaluated all



employees under the following criteria: Thus, if your mission statement upholds innovation, your performance appraisal should assess creativity and reward employees who give suggestions. If you want an open corporate culture, make sure that appraisals are done in an open format.

RECIPE FOR SUCCESS

It is therefore recommended that top management of organizations establish corporate cultures that are adaptive and can be measured. The mission, vision and values of organizations should be shared to enhance maximum cooperation amongst employees and have to be translating it into performance.

Did you realize that understanding company culture can have an unprecedented impact on the bottom-line of an organization? Culture talk is much more than soft talk.

If you want your corporate culture to explicitly help, and not hinder, your ability to successfully execute your strategy, you must invest accordingly in making it happen. Organizational cultures exist by design or by default. Unless you are lucky, default cultures are typically not as effective as they should be. ■

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